



East African Cables

Our Ref: EAC/MD-FA/290/08/16

29 August 2016

By Fax No. 2224200

Geoffrey Odundo
Chief Executive Officer
Nairobi Securities Exchange
55 Westlands Road
NAIROBI

Dear Mr. Odundo,

RE: 2016 HALF YEAR UNAUDITED GROUP RESULTS

Enclosed herewith are the unaudited group results for the half year ended 30 June 2016 which will be published in the local dailies tomorrow 30 August 2016.

Yours sincerely
East African Cables Ltd

PETER ARINA
CHIEF EXECUTIVE OFFICER

Encl.



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East African Cables
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INTERIM FINANCIAL STATEMENTS

UNAUDITED GROUP RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2016

The Board of Directors of East African Cables Ltd announces the unaudited results for the six months ended 30th June 2016

Condensed Statement of Comprehensive Income for the six months ended 30 June 2016

	Group 2016 Kshs'000	Group 2015 Kshs'000	Company 2016 Kshs'000	Company 2015 Kshs'000
Turnover	2,102,282	2,044,239	1,926,425	1,638,577
Profit from operating activities	7,699	48,560	99,911	96,254
Interest expense	(87,768)	(30,386)	(87,768)	(29,604)
Foreign exchange gains / (losses)	33,871	(115,739)	42,431	(28,323)
(Loss) / Profit before tax	(46,198)	(97,566)	54,574	38,327
Income tax expense	14,733	26,632	(16,375)	(11,498)
(Loss) / Profit for the period	(31,465)	(70,934)	38,199	26,829
(Loss) / Profit from operations attributable to:				
Equity holders of parent company	2,951	(26,762)	38,199	26,829
Non-controlling interest	(34,416)	(44,172)	-	-
Profit / (Loss) for the period	(31,465)	(70,934)	38,199	26,829
Basic and Diluted Earnings per share (Kshs)	0.01	(0.11)	0.15	0.11

Condensed Statement of Financial Position as at 30 June 2016

	Group 2016 Kshs'000	Group 2015 Kshs'000	Company 2016 Kshs'000	Company 2015 Kshs'000
Assets				
Non-current assets	5,442,354	3,992,531	3,632,124	2,803,762
Current assets	2,569,071	3,448,636	2,404,418	2,840,778
Total assets	8,011,425	7,441,167	6,036,542	5,644,540
Equity and liabilities				
Share Capital	126,563	126,563	126,563	126,563
Reserves	2,319,197	2,094,956	1,790,323	1,709,087
Non-controlling interest	656,340	594,129	-	-
Non-current liabilities	1,976,540	1,472,336	1,692,173	1,198,469
Current liabilities	2,932,785	3,153,183	2,427,483	2,610,421
Total equity and liabilities	8,011,425	7,441,167	6,036,542	5,644,540

Condensed Statement of Cash flows for the six months ended 30 June 2016

	Group 2016 Kshs'000	Group 2015 Kshs'000	Company 2016 Kshs'000	Company 2015 Kshs'000
Cash generated from operations	287,878	(144,067)	294,770	(55,860)
Income taxes paid	-	-	-	-
Cash generated from operating activities	287,878	(144,067)	294,770	(55,860)
Cash used in investing activities	(184,555)	(118,567)	(167,543)	(109,270)
Cash used in financing activities	(40,990)	513,918	(68,683)	401,016
Decrease in cash and cash equivalents	62,333	251,284	58,544	235,886
Cash and cash equivalent at 1 January	(88,820)	(292,827)	(91,813)	(284,534)
Cash and cash equivalent at 30 June	(26,487)	(41,543)	(33,269)	(48,648)

Condensed Statement of Changes in Equity for the six months ended 30 June 2016

	Group 2016 Kshs'000	Group 2015 Kshs'000	Company 2016 Kshs'000	Company 2015 Kshs'000
Share capital	126,563	126,563	126,563	126,563
Share premium	545	545	545	545
Revaluation reserve	1,712,620	925,556	1,065,943	561,993
Revenue reserve	714,375	1,244,682	723,835	1,146,549
Exchange reserve	(108,343)	(75,826)	-	-
Total equity attributable to equity holders of company	2,445,760	2,221,520	1,916,886	1,835,650
Non-controlling interest	656,340	594,129	-	-
Total Equity	3,102,100	2,815,649	1,916,886	1,835,650

Commentary

Revenue and net earnings from our Kenya operations grew by 18% and 42% respectively, driven by increased demand from local utilities for Last Mile Connectivity projects. Despite, our Tanzania operation's decreased performance in the period, the group recorded growth of 3% in revenue and 56% improvement in net earnings partly attributable to progress made on collection of receivables impaired last year.

Cash generated from operations improved by Kshs 431 million attributed to efficient management of working capital.

Dividend

The Board of Directors do not recommend payment of an interim dividend.

Outlook

With a healthy current order book, our Kenya entity is poised to report improved performance in the current year despite increased finance costs and high depreciation charge arising from recently installed capacity. Overall, we expect the group to report improved performance by the end of the year and continue on a growth trajectory going forward.

By Order of the Board

Virginia Ndunge

Company Secretary

Nairobi

29th August, 2016